

STOCK UPDATE

Result Update - Q4FY2026

SECTOR

Capital Goods

COMPANY DETAILS

Market cap:	Rs. 31,399 cr
52-week high/low:	Rs. 41,599/29,250
NSE volume: (No of shares)	0.13 lakh
BSE code:	517174
NSE code:	HONAUT
Free float: (No of shares)	0.2 cr

Source: NSE, BSE, Mirae Asset Sharekhan Research

SHAREHOLDING (%)

Promoters	75.0
FII	3.7
DII	11.3
Others	10.0

Source: NSE, BSE, Mirae Asset Sharekhan Research

PRICE CHART


Source: NSE, BSE, Mirae Asset Sharekhan Research

PRICE PERFORMANCE

(%)	1m	3m	6m	12m
Absolute	6.7	13.0	0.5	-10.2
Relative to Sensex	9.9	22.7	12.7	-1.5

Source: Mirae Asset Sharekhan Research, Bloomberg

Reco/View: **HOLD**

CMP: **Rs. 35,230**

Price Target: **Rs. 39,000**
Quick Snapshot

- Sales grew 6% to Rs 1,181 crore, lagging our estimates.
- Operating profit/APAT of Rs. 185/152 crore, for a 16%/8% growth, respectively. Margins improved by 135 bps above our estimates.
- OPM was a concern for the past 2-3 years. If margins remain at 15-16% then it would be a re-rating multiple.
- We retain a Hold rating on Honeywell with a revised PT of Rs. 39,000. The stock is expected to report a revenue/PAT CAGR of 12%/22%, respectively, over FY2026-FY2028E.

Result overview

- Margins surprise:** Stress eased as gross margins improved 140 bps, driving up OPM by 135 bps, thus driving up operating profit by 16% to Rs. 185 crore. Margins stood at 16%, beating our expectations. The rise in margins represents legacy contracts nearing delivery and would be further confirmed if margins sustain around these levels. For FY26, margins improved by 100 bps to 15% from 14% in FY25.
- FY26 results scorecard:** FY26 margins and profitability beat our estimates. Revenues strongly grew by 12% meeting our expectations. Revenues grew led by strong execution of pending orders. This rise was supported by robust demand for automation and control solutions across industries, including power, oil & gas, chemicals, pharmaceuticals, and more. For FY26, margins improved by 100 bps. Parent company's orders to the Indian subsidiary is expected to remain strong leading to higher export sales. However, the business outlook seems to be improving in the domestic market, both on the process and building automation sides with a chunk of low gestation orders.

Our Call

Valuation – Maintain Hold with a PT of Rs. 39,000: The government's focus on infrastructure sectors such as oil & gas, refining, power, chemicals, metals, etc. will benefit the company. The company continues to focus on industrial digitalisation, automation, and sustainability, which is expected to drive long-term revenue growth. A wide and rich product portfolio, solutions, digital software, and services enables it to participate in multiple opportunities. Margins improved and if sustains at this levels we would like to revisit our ratings. We maintain our Hold rating, factoring in Revenue/PAT CAGR of ~12%/~22% over FY2026-FY2028E.

Key Risks

Softening of investments globally and geopolitical uncertainty would affect business operations.

Valuation

	Rs cr				
Particulars	FY24	FY25	FY26E	FY27E	FY28E
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Net Sales	4,058	4,190	4,682	5,212	5,838
OPM (%)	14.5	14.0	12.9	15.0	15.5
Net Profit	501	527	525	684	797
YoY growth (%)	14.5	5.0	(0.3)	30.3	16.4
EPS (Rs.)	567.2	595.8	593.9	774.0	901.3
PER (x)	62.9	59.9	60.1	46.1	39.6
P/BV (x)	7.9	7.1	6.4	5.4	5.4
EV/EBITDA (x)	43.8	43.6	46.3	33.4	28.2
ROCE (%)	15.8	13.0	13.0	16.0	16.5
ROE (%)	14.8	12.8	12.4	15.1	15.8

Source: Company; Mirae Asset Sharekhan estimates

Financials (Standalone)

Particulars	Rs cr				
	Q4FY26	Q4FY25	YoY (%)	Q3FY26	QoQ (%)
Total Revenue	1,181	1,115	5.9	1,169	1.0
Operating Profit	185	159	15.9	148	25.2
Other Income	48	47	1.9	46	4.4
Interest	1	2	-26.3	4	-65.9
Depreciation	15	14	5.8	13	15.7
PBT	216	190	13.7	176	22.6
Tax	56	50	10.5	44	27.2
Adj. PAT	152	140	8.4	121	25.1
Adj. EPS (Rs.)	154	158.3	-2.5	154.3	0.0
Margin (%)			BPS		BPS
OPM	15.7	14.3	135	12.6	302
NPM	12.8	12.6	29	10.4	247
Tax rate	25.7	26.4	(73)	24.8	93

Source: Company; Mirae Asset Sharekhan Research

Additional Data

Top 10 shareholders

Sr. No.	Holder Name	Holding (%)
1	SBI Funds Management Ltd	6.10
2	Invesco Asset management	1.15
3	FundRock Management Co SA	1.12
4	ICICI Prudential Asset Management co	1.11
5	Vangurad Group Inc	1.09
6	Life Insurance Corporation of India Ltd	1.03
7	Aditya Birla Sunclife Asset Management	0.79
8	Blackrock inc	0.56
9	Kotak Mahindra Asset Management Co	0.42
10	Credit Agricole group	0.32

Source: Bloomberg

Key management personnel

Name	Designation
Atul Pai	Managing Director
Pulkit Goyal	Chief Financial Officer
Indu Daryani	Company Secretary

Source: Company Website

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